

tural shifts in crude oil sourcing. The approach moved from closely monitored government purchases to pure economics.

During his tenure, BPCL strengthened its trading capabilities and took a significant step to establish a crude oil trading desk in Singapore. This will bring the company closer to the market, enhance its effectiveness through real-time participation in global trading, and position it alongside leading international oil majors. Another primary structural change has been the aggressive move towards the spot market; for instance, the share of spot procurement increased from 30% in FY19 to 45-55% in recent years, and BPCL diversified its crude basket across 39 countries, enhancing optionality, reducing concentration risk, and capturing arbitrage opportunities.

Other measures include petrochemical integration as a natural hedge. BPCL has strengthened its refinery and petrochemical integration through projects such as the ethylene cracker at Bina refinery in Madhya Pradesh, the polypropylene project at Kochi refinery, and the petro residue fluid catalytic cracking project at the Mumbai refinery, converting fuel streams into higher-value material products and stabilising earnings across cycles.

Having a strict capex guardrail is the key to remaining profitable in a capital-intensive sector. BPCL has zero net debt on a stand-alone basis, follows a project internal rate of return threshold of 12-15% for long-term investments, and structures major projects with a calibrated 65:35 debt-to-equity mix to optimise the cost of capital.

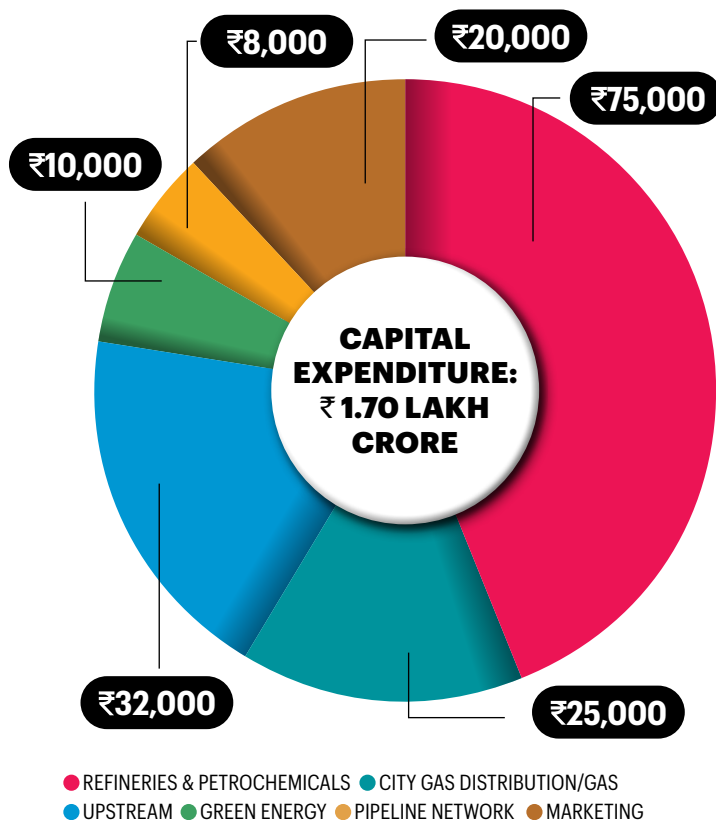
Krishnakumar says in the near term, global markets are likely to remain adequately supplied, as major producers retain spare capacity and strategic reserves provide buffers. However, the real risk lies in escalation, as prolonged disruptions could tighten prompt supplies, compress margins, and heighten energy security concerns for Asia's import-dependent economies.

"For Indian OMCs, this underscores the importance of diversified sourcing, flexible procurement strategies, adequate inventory buffers, and active risk management frameworks. The ability to quickly recalibrate crude oil baskets and optimise logistics becomes critical in managing cost and continuity," he says.

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FIVE-YEAR CAPEX PLAN



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